

Table 1: Financial Ratios Used in Analysis (from data/SPI/SPI_agent_ratios.md)

Ratio Category	Ratio Name	Value	Threshold (Pass / Monitor / Fail)	Outcome
Market Data	Share Price	£2.08	-	-
	Market Cap	£871.1m	-	-
	Enterprise Value	£2109.8m	-	-
Valuation Ratios	P/E Ratio	17.1x	<10.0 / 10.0-15.0 / >15.0	FAIL
	EV/EBITDA	8.5x	<5.0 / 5.0-7.5 / >7.5	FAIL
	EV/EBIT	15.4x	<7.0 / 7.0-10.0 / >10.0	FAIL
	EV/Revenue	0.7x	>1.0 / 2.0-1.0 / <2.0	FAIL
	Price to FCF	3.5x	>15.0 / 30.0-15.0 / <30.0	FAIL
	FCF Yield	28.4%	>10.0 / 6.0-10.0 / <6.0	PASS
Profitability Ratios	Gross Margin	45.2%	>40.0 / 30.0-40.0 / <30.0	PASS
	Operating Margin	9.4%	>15.0 / 5.0-15.0 / <5.0	MONITOR
	Net Margin	1.7%	>5.0 / 0.0-5.0 / <0.0	MONITOR
	ROE	6.8%	>10.0 / 0.0-10.0 / <0.0	MONITOR
	ROCE	6.8%	>15.0 / 8.0-15.0 / <8.0	FAIL
Liquidity Ratios	Current Ratio	0.7	>1.5 / 1.0-1.5 / <1.0	FAIL
	Quick Ratio	0.5	>1.0 / 0.5-1.0 / <0.5	MONITOR
Leverage Ratios	Debt-to-Equity	1.7	<0.5 / 0.5-1.0 / >1.0	FAIL
	Interest Coverage	0.7x	>4.0 / 2.0-4.0 / <2.0	FAIL
	Net Debt/EBITDA	5.0	<2.5 / 2.5-3.5 / >3.5	FAIL
Efficiency Ratios	Inventory Turnover	35.5x	>4.0 / 2.0-4.0 / <2.0	PASS
	Days Sales Outstanding	9 days	<60.0 / 60.0-90.0 / >90.0	PASS
Earnings Quality	Accruals Ratio	-17.9%	<10.0 / 10.0-20.0 / >20.0	PASS
	EBITDA to FCF Conversion	99.3%	>70.0 / 40.0-70.0 / <40.0	PASS
	Adjusted vs Statutory Gap	0.0	<10.0 / 10.0-20.0 / >20.0	PASS

Ratio Category	Ratio Name	Value	Threshold (Pass / Monitor / Fail)	Outcome
Asset Quality Ratios	Goodwill/Assets	17.6%	<30.0 / 30.0-50.0 / >50.0	PASS
	Capex/Depreciation	0.0	0.8-1.2 / <0.8 or >1.2 / >1.5	MONITOR
	Tangible Book Value	£308.8m	>50.0 / 0.0-50.0 / <0.0	PASS
Cash Flow Ratios	Cash Conversion	9.3	>1.0 / 0.8-1.0 / <0.8	PASS
	Free Cash Flow	£123.6m	>0.0 / 5.0-0.0 / <5.0	PASS

Table 2: Selected Financial Statement Data (from data/SPI/SPI_income_statement.md and data/SPI/SPI_balancesheet_statement.md)

Income Statement 2024 (£m)

Line Item	2024 Total	2023 Total
Revenue	1,511.2	1,359.0
Cost of Sales	(827.6)	(734.8)
Gross Profit	683.6	624.2
Other Operating Costs	(558.7)	(504.1)
Other Income	12.6	6.1
Operating Profit (EBIT)	137.5	126.2
Finance Income	0.7	1.4
Finance Cost	(99.9)	(93.0)
Profit Before Taxation	38.3	34.6
Taxation	(12.3)	(6.7)
Profit for the Year	26.0	27.9
Profit Attributable to Owners	25.4	27.3
Basic Earnings Per Share (p)	6.3	6.8
Diluted Earnings Per Share(p)	6.2	6.6

Balance Sheet as at 31 December 2024 (£m)

Line Item	2024	2023
Total Assets	2,343.2	2,288.1
Non-current Assets	2,117.9	2,067.5

Line Item	2024	2023
- Property, Plant & Equipment	1,663.4	1,618.8
- Intangible Assets	437.4	438.3
Current Assets	225.3	220.6
Cash and Equivalents	41.2	49.6
Total Equity	746.2	737.8
Non-current Liabilities	1,255.3	1,232.7
- Bank Borrowings	363.5	361.9
- Lease Liabilities	811.0	793.3
Current Liabilities	341.7	317.6

Analysis Summary:

Valuation:

The valuation multiples (P/E 17.1x, EV/EBITDA 8.5x, EV/EBIT 15.4x, EV/Revenue 0.7x, Price to FCF 3.5x) all broadly fail versus conservative thresholds, signaling that the market is pricing Spire Health at relatively high multiples compared to its earnings and cash flows, which may reflect growth expectations or risk premiums. However, the FCF yield at 28.4% is a strong positive, indicating very good cash flow generation relative to price.

Profitability:

Gross margin is strong at 45.2%, comfortably passing thresholds. Operating margin (9.4%) and net margin (1.7%) are moderate but not robust, justifying "monitor" status, as profitability is present but relatively thin. Return on Equity (ROE 6.8%) and Return on Capital Employed (ROCE 6.8%) are weak, below desired levels, suggesting the company is not yet generating strong returns on invested capital.

Liquidity & Leverage:

Liquidity ratios are poor, with current ratio at 0.7 (fail) and quick ratio at 0.5 (monitor), indicating potential short-term liquidity constraints. Leverage is high with Debt-to-Equity of 1.7 (fail) and low interest coverage (0.7x), implying significant debt load and risk on interest servicing. Net Debt/EBITDA of 5.0 is high and unfavorable, increasing financial risk.

Efficiency:

Inventory turnover (35.5x) and very low days sales outstanding (9 days) are excellent and pass strongly, indicating effective working capital management.

Earnings Quality & Asset Quality:

Strong earnings quality with low accruals (-17.9%), very high EBITDA to FCF conversion (99.3%), and no significant adjusted vs statutory accounting gaps. Asset quality is decent with moderate goodwill (17.6% of assets) and tangible book value £308.8m.

Cash Flow:

Cash conversion and free cash flow generation metrics (Cash Conversion 9.3x, Free Cash Flow £123.6m)

are strong and pass criteria, indicating healthy cash flows despite accounting earnings challenges.

Conclusion:

Spire Health presents a mixed financial profile. While it shows strong cash flow generation, efficiency, and gross margin, it faces challenges in profitability margins, return metrics, liquidity, and leverage that suggest financial risk and moderate operating performance. Valuation multiples are elevated, except for the very attractive free cash flow yield, suggesting market expectations are high but risk is present.

Based on fundamentals, the stock appears to be moderately overvalued on earnings and enterprise value multiples, reflective of weak profit margins and high leverage, but its strong cash flow metrics indicate underlying operational strength.

Absent the cash flow statement for deeper cash flow trend analysis, this assessment recommends monitoring liquidity and leverage risks carefully. If these issues improve, valuation could re-rate positively.

If the cash flow statement data becomes available, I recommend incorporating detailed free cash flow, investing, and financing cash flows into the valuation model for enhanced precision.

Signed,

Victoria Clarke

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